

Question 1

In which of the following markets is **economic profit driven to zero in the long run**?

- A. Oligopoly
 - B. Monopoly
 - C. Perfect competition
 - D. All of the above are correct
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Question 2

Crude oil is supplied to the world market primarily by a few Middle Eastern countries. Such a market is an example of a(n):

- A. (i) and (ii)
- B. (ii) and (iii)
- C. (iii) only
- D. (i) and (iii)

Where:

- (i) Imperfectly competitive market
 - (ii) Monopoly market
 - (iii) Oligopoly market
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Question 3

The prisoners' dilemma provides insights into the:

- A. Benefits of avoiding cooperation
 - B. Ease with which oligopoly firms maintain high prices
 - C. Difficulty of maintaining cooperation
 - D. Benefits of government ownership of monopoly
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Question 4

In game theory, a **dominant strategy** is:

- A. A strategy that must appear in every game
 - B. The best strategy to follow only if other players cooperate
 - C. The best strategy to follow regardless of the strategies chosen by other players
 - D. A strategy that allows one player's interests to dominate others
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Question 5

When an industry has many firms, the industry is:

- A. Perfectly competitive if firms sell differentiated products; monopolistically competitive if firms sell identical products
 - B. Monopolistically competitive if firms sell differentiated products; perfectly competitive if firms sell identical products
 - C. An oligopoly if firms sell differentiated products; perfectly competitive if firms sell identical products
 - D. An oligopoly if firms sell differentiated products; monopolistically competitive if firms sell identical products
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Question 6

If advertising makes consumers more loyal to particular brands, it could __ **the elasticity of demand** and __ the markup of price over marginal cost.

- A. Increase, increase
 - B. Decrease, decrease
 - C. Increase, decrease
 - D. Decrease, increase
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Question 7

Markets with only a few sellers, each offering a product similar or identical to the others, are typically referred to as:

- A. Monopoly markets
- B. Competitive markets

- C. Oligopoly markets
 - D. Monopolistically competitive markets
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Question 8

In the prisoners' dilemma game with Bonnie and Clyde as the players, the likely outcome is one:

- A. In which neither Bonnie nor Clyde confesses
 - B. That is ideal for both Bonnie's and Clyde's self-interest
 - C. In which both Bonnie and Clyde confess
 - D. That involves neither player pursuing a dominant strategy
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Question 9

When firms agree among themselves on the quantity to produce and the price at which to sell output, their form of organization is called a:

- A. Cartel
 - B. Nash arrangement
 - C. Monopolistically competitive oligopoly
 - D. Perfectly competitive oligopoly
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Questions 10–15: Use the information below

The table below shows the **total demand** for premium digital cable TV subscriptions in a small urban market.

Assume each company has a **fixed cost of \$100,000 per year** and **zero marginal cost**.

Quantity	Price (per year)
0	\$120
3,000	\$100
6,000	\$80
9,000	\$60
12,000	\$40
15,000	\$20
18,000	\$0

Question 10

If there is only one digital cable TV company in this market, what price will it charge to maximize profit?

- A. 60 USD
- B. 80 USD
- C. 100 USD
- D. 40 USD

Question 11

If there are two digital cable TV companies and they are able to collude, what price (P) and quantity (Q) will they choose?

- A. $P = 40 \text{ USD}$, $Q = 12,000$
- B. $P = 80 \text{ USD}$, $Q = 6,000$
- C. $P = 60 \text{ USD}$, $Q = 9,000$
- D. $P = 100 \text{ USD}$, $Q = 3,000$

Question 12

If the two firms collude and split the market equally, how much profit will each firm earn?

- A. 170,000 USD
 - B. 480,000 USD
 - C. 40,000 USD
 - D. 540,000 USD
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Question 13

If the two firms cannot collude, how many subscriptions will be sold in total at the Nash equilibrium?

- A. 12,000
 - B. 3,000
 - C. 9,000
 - D. 6,000
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Question 14

At the Nash equilibrium (no collusion), what price will premium digital cable TV subscriptions sell for?

- A. 40 USD
 - B. 100 USD
 - C. 80 USD
 - D. 60 USD
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Question 15

At the Nash equilibrium (no collusion), how much profit will each firm earn?

- A. 170,000 USD
- B. 220,000 USD
- C. 0 USD
- D. 140,000 USD